Chapter 1
Introduction

What is *strategy*?
A strategy is a plan or method put in place to achieve a goal or result, as in Blanca's strategy for passing the test was to study every night until test day.
Strategy can refer to the use of tactics in the planning of military operations, usually to succeed in a battle or war. In a military context, a strategy can refer to an overall plan, a specific or broad goal, or the execution of said plan or goal.
Strategy can also refer to the use of a strategy to meet a goal, as in the only way to win a war is with a solid strategy.
Example: Their strategy was to distract the enemy and then sneak in from behind.

Where does *strategy* come from?

The first records of the term *strategy* come from the 1680s. It comes from the Greek *stratēgía*, meaning "military commander."
A distinction is made between *strategy* and *tactics* in military usage. A *strategy* is the long-term plan for using one's military forces to win peace or maintain security, while *tactics* are the specific movement of troops and resources during a battle.
Business is another area in which *strategy* is commonly used. A company will have an overall *strategy* for growing sales and profits. Meanwhile, the different divisions within the company will have their own strategies for reaching their goals, which help the whole company reach its goals.

Define strategic Management
Strategic management is the process of formulating and implementing strategies to achieve the goals and objectives of an organization.

Example of Strategic Management

Amazon employed several strategic management techniques to overcome local players like Snapdeal and Flipkart in the Indian market:

Strong Market Entry: Amazon entered the Indian market with significant investment and long-term vision, demonstrating its commitment to success. They strategically focused on building a robust logistics infrastructure, expanding product offerings, and offering competitive pricing.
Customer-Centric Approach: Amazon prioritized providing exceptional customer experience by offering fast and reliable delivery, easy returns, and a wide range of products. They leveraged their global expertise in e-commerce to create a seamless online shopping experience for Indian customers.
Continuous Innovation: Amazon introduced innovative features and services tailored to the Indian market, such as Hindi language support, regional content, and localized payment options. They constantly adapted their offerings based on customer feedback and market trends.
Competitive Pricing: Amazon employed a competitive pricing strategy to attract customers, offering discounts and deals on popular products. They leveraged their global scale and supply chain efficiencies to provide cost-effective solutions.

Strategic Partnerships: Amazon forged partnerships with local retailers, brands, and small businesses, enabling them to expand their product range and offer exclusive deals. This approach helped them tap into the vast Indian market and build trust among local sellers.

Investments in Technology: Amazon significantly invested in technology and data analytics to enhance customer personalization, improve operational efficiency, and drive insights for strategic decision-making.

These strategies allowed Amazon to differentiate itself, gain market share, and gradually surpass local players like Snapdeal and Flipkart in terms of customer trust, brand recognition, and market dominance.

 # Task of Strategic Management

The strategy-making, strategy-implementing process consists of five inter-related managerial tasks:

1. Deciding what business the company will be in and forming a strategic vision of where the organization needs to be headed - in effect, setting the organization with a sense of purpose, providing long-term direction, an establishing a clear mission to be achieved.
2. Converting the strategic vision and mission into measurable objectives and performance targets.
3. Crafting a strategy to achieve the desired results.
4. Implementing and executing the chosen strategy efficiently and effectively.
5. Evaluating performance, reviewing new developments, and initiating corrective adjustments in long-term direction, objectives, strategy, or implementation in the light of actual experience, changing conditions, new ideas, and new opportunities.

 # Why is strategic management important?

Strategic management is important from a financial and non-financial perspective for organizations of any size.

Specifically, strategic management is important in organizations because:

1. strategic management helps an organization move past short-term thinking and strategies the future of the company.
2. strategic management helps an organization fulfill its responsibilities (especially if it's a listed company), including regulatory and reporting obligations.
3. strategic management helps an organization to establish and monitor its progress against long-term plans (as opposed to strategic planning, which is generally thought of as a one-time plan), resulting in greater operational efficiency and profitability

 # Strategic management process

The strategic management process can be broken down into five key stages.

1. Goal-setting

First thing's first. Where do you want to go? Effective goal-setting involves understanding what your organization stands for and what it wants to achieve. For this, you'll need your company mission, vision, and long-term objectives.

Begin by revisiting and deeply understanding your organization's mission and vision. These are values that encapsulate the essence of what your organization is and aspires to be.

Think about how your goals can reflect and advance these fundamental principles in the long term. These values act as a guiding compass and should be evident in every goal you set. For example, if 'innovation' is a core value, your goals should reflect a commitment to new ideas.

Questions for goal-setting

- What are our key priorities, and how do they align with our mission and vision?
- How do our proposed goals reinforce our values?
- Are these goals ambitious yet achievable?
- How will these goals impact our employees, customers, and stakeholders?
- How will we measure the success of these goals?

2. Analysis

You need to know what you're working with and what you're up against. This involves looking inside your organization to understand your strengths and weaknesses and looking outside at the market and competitors to identify opportunities and threats. A SWOT diagram will come in handy here. Use a template to make the process headache-free.

3. Strategy formulation

Here's where you map your route. Based on what you've learned from your analysis, you work out how you're going to reach your goals.

This could involve diversification, market penetration, product development, partnerships, cost leadership, or differentiation strategies, among others. The secret is to generate multiple options that align with the results of your SWOT diagram.

Not every strategy you mastermind will be viable. So as part of this step, you'll need to critically assess the pros and cons of each option. Considerations include feasibility, value alignment, resource availability, market trends, and potential risks and rewards. Ask around so you get a range of perspectives and insight. Once you've gathered all you need, run it past management and decide on a strategy or mix of strategies that will best serve your goals.

4. Strategy implementation

Now, it's time to put all that planning into action. The implementation stage involves allocating resources, assigning tasks, and making sure everyone in your organization knows what they're supposed to be doing.

Using project management software can make this stage a lot easier. Instead of creating spreadsheets and sending out emails like wedding invites, simply add all your deadlines and tasks to a cloud-based timeline, then assign tasks and let the software do the heavy lifting when it comes to tracking.

5. Evaluation and control

As you move along, you need to check you're still on the right path. This stage is about monitoring your progress, comparing it with your plan, and making adjustments like the captain of a ship. Maybe you've hit some unexpected challenges, or maybe there are new opportunities you hadn't considered before. The more you check, the more you'll know.

 # SWOT Analysis

SWOT analysis is known worldwide and widely applied in many companies. **SWOT Analysis** stands for: **Strengths, Weaknesses, Opportunities and Threats**. So, what is the purpose of SWOT analysis?

SWOT analysis – or the SWOT matrix – was developed in the 60s by **Albert Humphrey.** He led a research project at **Stanford University** to analyze data of the 500 largest corporations reported by **Fortune magazine.** As a result, they created a method that quickly turned into an exercise used by all of the world's leading companies in formulating strategies.

SWOT analysis is a simple analysis system designed to check the strategic position of a particular company in its field of operation, and because of its methodological simplicity can be used to analyze any scenario or environment, from the creation of a website to the management of a multinational corporation.

 # What is the purpose of SWOT analysis?

We can say that the purpose of SWOT analysis is to study the internal and external environments of a company, through the identification and analysis of the strengths and weaknesses of the organization, and the opportunities and threats to which it is exposed.

Part of the purpose of SWOT analysis is to also assertively identify factors that influence the functioning of the organization providing very useful information in the strategic planning process.

You can divide SWOT analysis into two parts: the internal environment where strengths and weaknesses are identified, and the analysis of the external environment, where threats and opportunities are determined.

What Is a Stakeholder?
A stakeholder is an individual or a group of individuals with an interest, often financial, in the success of a business. The primary stakeholders in a corporation include its investors, employees, customers, and suppliers.

Fig. Types of Stakeholders

Types of Stakeholders

Customers

Stake: Product/service quality and value

Many would argue that businesses exist to serve their customers. Customers are actually stakeholders of a business, in that they are impacted by the quality of service/products and their value. For example, passengers traveling on an airplane literally have their lives in the company's hands when flying with the airline.

Employees

Stake: Employment income and safety

Employees have a direct stake in the company in that they earn an income to support themselves, along with other benefits (both monetary and non-monetary). Depending on the nature of the business, employees may also have a health and safety interest (for example, in the industries of transportation, mining, oil and gas, construction, etc.).

Investors

Stake: Financial returns

Investors include both shareholders and debt holders. Shareholders invest capital in the business and expect to earn a certain rate of return on that invested capital. Investors are commonly concerned with the concept of shareholder value. Lumped in with this group are all other providers of capital, such as lenders and potential acquirers. All shareholders are inherently stakeholders, but stakeholders are not inherently shareholders.

Suppliers and Vendors

Stake: Revenues and safety

Suppliers and vendors sell goods and/or services to a business and rely on it for revenue generation and on-going income. In many industries, suppliers also have their health and safety on the line, as they may be directly involved in the company's operations.

Communities

Stake: Health, safety, economic development

Communities are major stakeholders in large businesses located in them. They are impacted by a wide range of things, including job creation, economic development, health, and safety. When a big company enters or exits a small community, there is an immediate and significant impact on employment, incomes, and spending in the area. With some industries, there is a potential health impact, too, as companies may alter the environment.

Governments

Stake: Taxes and GDP

Governments can also be considered a major stakeholder in a business, as they collect taxes from the company (corporate income taxes), as well as from all the people it employs (payroll taxes) and from other spending the company incurs (sales taxes). Governments benefit from the overall Gross Domestic Product (GDP) that companies contribute to.

 # Factors shaping Strategy of a company

Below are six factors taken from the PESTLE model that you need to be aware of to give your business strategy its best chance of success; let's take a look:

Political

There hasn't been a climate of political volatility like what we're seeing now for quite some time.
The decisions politicians make on things like wars, taxes, pandemics and trade deals have very profound implications on our businesses, and with the current chaos following Boris Johnson's resignation, more uncertainty lies ahead.
These moment-notice changes we see – taxes, schemes and legislation – mean that your strategy needs to be ready to adapt at a moment's notice.

Environmental

Being environmentally conscious can no longer be viewed as a nice-to-have; if you want to appear as an attractive employer and company to do business with, protecting the environment should be on your agenda.

Social

Our behaviours, expectations and accepted social norms have shifted and continue to change on an almost daily basis. These social changes impact everything from how we lead our teams to what our customers expect from us.
Take, for example, the sudden rise in instant-gratification culture, where people expect things immediately.

Technology

While tech is largely an enabler of business, keeping up with developments requires a keen eye and ongoing investment of time and money. It may seem like a huge pain to keep on top of the latest tech, but relying on the ways of yesterday could hold your business back from seeing tomorrow.

Economic

Economies around the globe are now, at best, challenged and at worst broken. We have almost all of the major world economies experiencing high inflation or already in recession, with some on the verge of a great depression-like scenario as a result of recent events. How various economies are coping, whether that's the micro-economies within the UK (towns and cities) or entire economies (countries), needs to be factored into your strategy when determining where you're targeting your business.

Legal

Legislation from the Government impacts many parts of our ability to run businesses effectively. From employment law to data protection, these legislative considerations mean businesses have to adapt constantly to ensure they're compliant.